

Unit 13**Corporate Social Responsibility****Structure:**

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13.1 Introduction

In the previous unit you have learnt about WTO, India and trading block. Every business has to survive in society. To operate and grow in society, business organizations have to undertake certain social responsibilities which are termed as corporate social responsibility. Although the subject 'corporate social responsibility' has gained popularity in recent years, its origin can be traced back to the evolution of the concept of welfare state. Employees were more concerned with the loss of productivity due to avoidable sickness and stoppage of work due to bad personal relationships. This gave rise to the idea of welfare state. Growth of democracy and respect for human dignity strengthened this. The changes in business in the recent years have supported the idea of corporate social responsibility. As we perceive now and which was revealed in the opinion polls in the USA during the 1960s and the 1970s, the image of a businessman was not very pretty.

A businessman was viewed as an individual who did not care for others, who ignored social problems, who exploited the Labour and the customer and also was a selfish moneygrubber. On the other side, a businessman considered himself a self-sacrificing community leader, pillar of society, supporter of art and education – in short the son of the soil. There are certain responsibilities which a business is required to undertake to bridge the gap in the above perception. These sets of responsibilities are known as corporate social responsibility.

Objectives:

After studying this chapter you should be able to

- Define the importance of corporate social responsibility.
- describe the need for social responsibility of business.
- categorize the social responsibility of business towards different groups.
- identify the barriers to social responsibility.
- assess how socially responsible Indian business is

13.2 Meaning and Definition

Business is an activity of making, buying or selling goods or services for money. “Social responsibility” means to serve the people or the community without expecting anything. Business is meant to create wealth, new markets, provide employment and produce enough goods to sustain its activities and to improve its competitiveness. Society should provide an environment for the business to grow and prosper which will allow the investors to earn money. The survival and the growth of the business depend upon society. Resources like people, services, raw materials and infrastructure can be provided by society for the business to flourish. On the other hand, business provides products and services, direct and indirect employment that will generate income in terms of wages, taxes, dividends, interest and so on. There is a strong connection between business and society. Society gives business two special rights to help it in performing its role. This comes with the advent of Joint Stock Company. The first right is “potential immortality” and the second one is “limited liability”. So business has a responsibility towards society and community at large. Acharya Vinoba Bhave said, Business was considered to be next to king. The king was known as Shehanshah while business was known as shah as a common word. The first shah had a duty towards the public as a king, that

is, government, and the other shah also had a duty towards society being part of the Shehanshah.”

In the age of globalization business has become international. Business organizations use natural resources to increase their profits. The responsibility of business organizations towards society and community/environment has increased as they intervene in so many areas of social life. Now a days people are realizing the relation between business and society. Business organizations are created by society, so they should serve society and not merely make money from it. Thus the role of the business in society has been put under corporate social responsibility (CSR). India is a democratic country and wants to achieve welfare of the people through democratic means. Business enterprises which fit into this specification would have a better scope to survive and flourish. Every business organization has a responsibility towards the welfare of the society.

The social need of society should be taken care of, by each and every organization. Society provides the basis, scope and demand for the business enterprises, so it is the duty of the business organizations to help society when it needs. They can help in various fields such as social, economic, political, poverty and unemployment, natural calamities such as flood, earthquake and draught. The social needs of society are looked after by various governmental organizations, non-governmental organizations (NGOs), people who are socially conscious and so on. To solve the problems of society there is a due need for unlimited resources, manpower and a greater vision. The social needs of society cannot be ignored by the business enterprises, which form an important part of society and control a conspicuous share of the resources of society. Business organizations should look into the problems and needs of society. Here a domestic company has a primary responsibility and a multi-national company or a foreign company has the secondary responsibility towards the social needs of society.

Each company should earmark a part of its resources, so that they can be used for achieving social goals and tackling social problems. In the age of globalization every company must be aware of the social changes taking place in society. Every company must shape itself to be socially oriented in a global perspective. A responsible business house understands its

responsibility towards society. This in turn, helps it to establish a good corporate image. Social responsibilities can be fulfilled in many areas like education, environmental protection, health care and so on. It is not limited to promising any social project. Any organization distributing free clothes or sweets to the poor people after amassing huge wealth through black market, hoarding and other unfair means cannot be said to be carrying out corporate social responsibility. On the contrary, providing proper products at the proper prices in the proper places to the proper customer is a social responsibility.

13.2.1 Definitions through various dimensions

Social responsibility can be defined in various ways. Adolph Berle defined social responsibility as the manager's responsiveness to public consensus. This means that the same set of social responsibilities cannot be applicable to all the countries all the times. These would be determined by the customers, traditions, religions, level of industrialization, other norms and standards about which, there is a public consensus at any given time in a given society.

Keith Devis defines social responsibility as two types of business obligations: (a) The socio-economic obligation and (b) the socio-human obligation. The socio-economic obligation means every business organization should see that the economic outcome of its actions do not adversely affect the welfare of the society. This includes obligation to provide employment opportunities, to curb inflation, to maintain competition and so on. The socio-human obligation is to nurture and develop human values such as morale, cooperation, motivation and self-realization in work.

Each business enterprise is a part of a total economic and political system. It is directly related to persons, groups and things, so the businessman should consider the impact of his action on all to whom/which he is related. For the welfare of his employees, investors, consumers, government and the public, a businessman should operate his business as a trustee.

There is no universally accepted definition to the term 'corporate social responsibility' or CSR. Most of the definitions of CSR focus on a company's overall impact on society and stake holders. According to the London benchmarking group model, "Business Basics", in the context of CSR relates as to how the company does its business and whether it is sensitive

about the impact of its business on society and environment. Apart from the financial returns, the socio-economic obligation and socio-human obligation, the other factors are as under:

- a) Philanthropy: Supporting the social causes, responding to the needs and appeals of charitable organizations and community groups with the help of companies, customers and suppliers.
- b) Social investment: Long term and strategic involvement in community partnership; social issues chosen by the company are limited to protecting its long term interest and enhancing its reputation.
- c) Commercial: Ethical business practices, compliance with the law of the land, concern for the environment and looking after the interest of the customers, supply chain, employees and the whole community. CSR is a culture and should be integrated with all the phases of a corporation.

After going through the definitions we can say that a business has to be run not only for economic gains, but also has to consider the welfare of the society as a whole. This leads to the growth and development of the business, which ultimately becomes a win-win situation for both business organizations and the society.

Self Assessment Questions:

- 1. The two special rights given to the business by society are _____ and _____.
- 2. The two types of business obligations are _____ and _____.
- 3. Each business organization is part of a total _____ and _____ system.
- 4. For the welfare of his employees, investors, consumers, government and the public, a businessman should operate his business as a _____.

13.3 Need for social responsibility of business

The social responsibility of the business becomes necessary in many situations. They are as follows:

- a) Societal approach is very important to business organizations, which demand that they should be responsive to the social problems of society.
- b) To establish a good corporate image, business organizations include social responsibility as a corporate objective.

- c) Social welfare terms are included in the collaborative agreements, which require the company to take up the social responsibility of business.
- d) Legal provisions like pollution and environmental laws also direct a company to take up social problems.
- e) Donations to approved NGOs are also exempted from the income tax.
- f) Commitment to social responsibility by an organization also enhances its image, resulting in better business environment.
- g) Companies undertaking social responsibility can position their products better and increase their market share.
- h) In case a situation demands, due to natural calamities or accidents, a company has to compensate the victims or provide medical treatment to the affected people.
- i) For extraneous consideration also, some time, some organizations are forced to take up social responsibility.
- j) In some organizations the culture is so strong that they take up social responsibility as their moral responsibility.

Self Assessment Questions

State whether the following statements are true or false:

- 5. Business organizations are not required to include CSR as business objectives to present a good corporate image. (True /False)
- 6. Donations to all private trusts are exempted from income tax. (True /False)
- 7. Legal provisions like pollution and environmental laws also direct a company to take up social problems. (True /False)
- 8. Natural calamities may also sometimes guide businesses to undertake social responsibility. (True/False)
- 9. Strong company culture also sometimes guides companies to undertake CSR. (True/False)

13.4 Social responsibility of business towards different groups

Since all businesses operate in a society they have their responsibility towards various sections of the society. The responsibility may be towards the customers, the society or the community, the Environment and so on. These are outlined below:

13.4.1 Responsibility towards the customers

Customer satisfaction is the most important factor in any business organization. To satisfy the customers, good quality products are to be designed and produced using quality materials, apt technology and well trained, motivated and committed human resources. Toyota's 'customer first policy' has paid it rich dividends and is also being followed by other organizations worldwide. Japanese companies strive towards customer satisfaction. Mantra for the marketing has moved on from 'customer satisfaction' to 'customer delight'. The job of the manager is to identify the actual demand and target customers, ensuring them satisfaction and delight. Workers in the Japanese companies fully cooperate with the management for improving production methods, so that they can satisfy the customers. Japanese products such as high-definition TVs, fuel efficient automobiles, latest consumer electronics and the likes are highly customer oriented things/products. They are being sold at affordable prices to customers. Japanese corporations have become successful in fulfilling and maximizing the customer satisfaction. This has been the result of success of Japanese employees.

13.4.2 Social responsibility to prospects

'Prospects' are the possible or probable customers, they may also be called "expected" customers. A good company will always identify its existing customers and make a forecast about the expected customers. At the initial stage i.e. the product planning stage, every company should think of the present market and the expected market. For this the company would take into account the needs, wants, tastes and preferences of the present market and the expected market. This helps the company to offer maximum satisfaction to the customers.

When a company decides to take up a welfare project, the most urgent things must be given priority. Appropriate priorities at the appropriate time help the organization to do well. Especially in social welfare projects it is very important for a company to decide and prioritize things as what comes first, what next, what last and what never at all. Setting up wrong priorities may result into abandoning the important projects.

13.4.3 Social responsibility to community

A company is a part of the community. A community is a part of society at large, which provides the immediate social environment to the company. A

company has an important role to play in the community; hence it must be committed to the welfare of the environment. The two important social roles of the company are (a) it should play a leading role in the community welfare and (b) it should help society for a pollution free environment. By using friendly technology, conservation of trees and forests, using fuel efficient automobiles and the likes, a company can support society. Many business organizations support the community indirectly by providing employment opportunities by putting up shops, township, transport development, markets and so on.

13.4.4 Responsibility towards human resources

The social responsibility of an organization can be first known from its approach to the internal environment. An organization's internal environment mainly consists of its human resources. A company which cares for its internal environment may be able to care for its external environment- society also. A business organization must be willing to maintain the dignity of every employee as a human being, provide enough opportunities to each individual to develop to its maximum potential, satisfy his needs and aspirations. A proper organizational philosophy and human resource policy is needed to fulfill the responsibilities towards the employees. Fair wages, proper organizational climate, good working conditions, career prospects, proper facilities for development and the likes are essential for the growth of the company. All these aspects enhance the sense of belonging and confidence of the workers in the organization. The vision of Mr. Jamshedji Tata was the same in 1907. Some welfare schemes followed by TISCO since its operation in 1911 are as enumerated below:

- a) In India an eight hour shift was first introduced by TISCO in 1912.
- b) In 1915, free medical aid to employees and their families was started, while the ESI act came into force only in 1948.
- c) A welfare department was introduced and welfare activities started in 1917.
- d) School for the children of employees was started in 1917, although such a provision is not enforced statutorily even now.
- e) For training of employees, a technical training institute was started in 1921.
- f) Leave with pay, provident fund and accident compensation was introduced in 1912 much before the Act was passed in 1952.

- g) TISCO started the maternity benefit scheme in 1928.
- h) Bonus was introduced in 1934, whereas the payment of bonus act was passed in 1965.
- i) Retirement gratuity was introduced in 1937, while the payment of gratuity Act was passed in 1972.
- j) Ex-gratia payment for road accidents was introduced by the company in 1979.

Housing schemes, transport facility, games and sports facility, worker's education, counseling, career guidance and the likes are the list of items which an organization can include in its employee welfare programmes in addition to the statutory welfare programmes. The most important task of an organization is to recognize the worth and contribution of its employees. Social responsibility of a business organization begins with its own people on the one hand and its customers on the other.

13.4.5 Responsibility to society and ecological environment

An organization has responsibility towards its community, society and ecological environment. In this age of globalization, the whole globe can be the society for a business enterprise. A company's society may be the countries or cities wherever it operates, its suppliers, dealers, wholesalers, and retailers. A company has responsibility towards all these sections of society. It can help society to solve its socio-economic problems like poverty, unemployment etc. A company can even adopt villages for concentrated development activities.

13.4.6 Responsibility towards government

A business organization has a social responsibility towards the government. It can pay its taxes and duties in time, help the government with social projects and so on. Business enterprises can cooperate with the government's social policies and programmes. They can support the government by following the rules and regulations laid down by the government.

Business organizations can improve their corporate image by paying taxes in time, participating in social welfare projects and policies. Laws such as Industrial law, Labour law and anti-pollution law are some of the laws which have to be abided by business organizations.

13.4.7 Social responsibility to Global business environment

Global business environment includes global markets, global operation and technology, global corporate citizenship and global policies and strategies. In today's world, globalization of business is necessary to sustain the market. Global business environment provides healthy competition and a free market operation. Every business enterprise, whether operating globally or indigenously has to follow the conditions of a global environment. It also has social responsibility towards it.

It is the responsibility of a business enterprise to fulfill the needs of worldwide customers. They need a globally approved quality, a globally competitive price and a globally approved technology. Even indigenous companies have to maintain the global quality standards and global social responsibility. Otherwise they may not be able to remain in the global market environment.

Globalization results in the faster and larger growth of industrialization, hence business organizations have greater global social responsibility towards society. Expansion of business through takeovers, acquisitions and merger are common nowadays. Corporate houses make large allocations for social welfare projects in order to gain greater corporate images.

The advent of large business houses and multi-nationals lead to innovative projects for social development. They take measures to tackle pollution and environmental problems in society to improve their social image. Above all, government also introduces rules and regulations for ensuring social responsibility of business. This leads to a greater social awakening in the industrial circles.

Self Assessment Questions

10. Mantra for marketing has moved from _____ to _____ .
11. Toyota of Japan has been following the policy of _____ .
12. Prospects are also called _____ customers or _____ customers.
13. In India 8 hours shift was first introduced by _____ in 1912.
14. A company can adopt a _____ for developmental activities.

13.5 Barriers to social responsibility

Every business organization has social responsibility, but there may be some obstacles which make it difficult for the effective fusion of social welfare objectives with the corporate policy. These obstacles can be called “barriers to social responsibility”. A business enterprise is a part of society, so it is responsible to its society which includes its own human resources, customers, its community, and environment and so on. Some business enterprises know their responsibilities, others pay only lip service, and for some, it is the responsibility of the government to take care of its citizens.

Barriers to the social responsibility of the business may be as follows:

- a) Urge to make profit
- b) Desire to amass huge wealth.
- c) Low profitability
- d) Problems of exploitation
- e) Frequent change of government
- f) Problem of trade unions
- g) Problems within the company and the like.

An important motive of the business is to make profit. The urge to make profit encourages businessmen to exploit the customers by black marketing, hoarding, reducing quality and hiking prices. Social responsibility never becomes a priority for these businessmen. Another barrier is low profitability or no profitability situations in business. If a business is struggling to survive in the competitive market, it would not be in a position to concentrate on social responsibility, even if it wants to do.

Trade unions very often exploit a business organization by draining out its profit and sometime even the capital. This is very common in Indian businesses. In order to realize their claims, trade unions by their collective strength hold the entire business organization to ransom. Some industrial units are forced to postpone the social responsibility needs because of their internal problems, capital problems, financial strains and the need for modernization.

The frequent change of government leads to instability and inconsistency in policies which affects the realm of business; e.g. during 1996-1998 three governments failed, resulting in instability in the nation and business. During this period industrial production declined, GNP went down, share markets

crashed, and inflation increased which led to chaos and confusion everywhere. The social responsibility of business enterprises was the lowest during these years.

Limited resources force business firms to prioritize their commitments. Globalization of business leads to modernization of business. Business enterprises are forced to modernize their businesses by spending huge amounts of money. Resources and commitments to financial institutions remain unchanged for most of the business organizations. In such a situation it is difficult for any organization to divert its funds into social projects. Business organizations and industrial units are very often the target of extortion and corruption from many areas such as political pressures, anti-social elements, corrupt government officials and politicians. For their existence, business enterprises are forced to oblige to such elements. This is very common in Indian business organizations. Big corporate houses manage to set up special funds to meet the requirement of corrupt politicians and officials, but the small and medium enterprises (SMEs) find it difficult to survive in such situations. A lot of other problems like recession, depression, crashing of stock markets adversely affect the economic activity. The business organizations have to be careful while taking decisions in the matter of economic behaviour and expenditure.

Self Assessment Questions

State whether the following statements are true or false:

15. Most of the business organizations pay only lip service to corporate social responsibility. (True /False)
16. Frequent changes in government do not affect the corporate social responsibility of business organization. (True /False)
17. Crashing of stock market adversely affects the economic activity. (True/False)
18. Trade unions in no way affect the performance of a business. (True/False)

13.6 Social responsibility of business in India

Now a day CSR is an all-year-round responsibility that companies take, for the welfare of the people around them. Recognition comes not only from the quality of products they make, fair prices and novelty, but also from their attitude towards company's work force, community and environment. People

judge companies not just by the impact, but by their outcome also. The area where CSR functions includes human rights, safety of the employees, and protection of consumers, protection of climate and environment and carefully utilizing the natural resources. For employees the activities of CSR include the health and safety measures, taking care of the rights of the employees, equal opportunities at the work place/ avoiding discrimination and the like. All these factors help an organization to develop a healthy environment in the company.

In India HUL has merged the CSR strategy into its business strategy. This way it achieves both the business and social responsibility objectives. HUL is committed to its stakeholders- employees, consumers, the environment and society. The “Shakti” programme meant for the rural women for earning extra income is highly commendable. Here women are trained to become an extended arm of the company’s operations. Godrej Industries looks at CSR as philanthropy that was started by its founders. It follows the same policy even today. On the other hand, P&G believes in building the community it lives. It supports in the development and progress of the community. The motto of its social projects is “Business with a purpose”.

Corporate giant, Reliance ADAG emphasizes the need for being socially responsible and evaluates and assesses each business decision, keeping in mind the interest of the stake holders. This helps the company to reduce risk and it can look forward to addressing long term economic, social, environmental costs and concerns. CSR is not a onetime support or help to some organization or community, but an ongoing commitment integrated into business objectives and strategy.

The CSR of Tata Steel is based on the principle of its founder Jamshedji Tata. According to him, the welfare of the people and the progress and health of the company are linked to each other. It is difficult to separate one from the other. Many Tatagroup companies are taking initiatives for the development of rural areas. For example, Tata Motors provides all the infrastructure needed for various primary schools in its areas of operation. The company is also providing computer facilities and laboratories to high schools.

Similarly TVS Electronics has helped the Tsunami victims in many ways. So are the companies like Infosys Technologies limited, GE Foundation and

Satyam Foundation. These foundations, apart from the profit they make, aim at the welfare of the poor and helpless by trying to improve their standard of living. Especially in the rural sector, contribution of these corporate houses is really praiseworthy. CSR gives both internal and external benefits to the companies involved in different projects. By contributing to the welfare of the society a company creates a positive image among its people; It also gives short term employment opportunities to the people, by constructing schools, hospitals, parks and the like. So, this is a win- win situation for society as a whole.

As JRD Tata has rightly pointed out, high standards of behaviour and the discharge of social obligation should be expected of or demanded from, not only business and industry but from all economic groups in the country whose actions have an impact on society. This applies in particular to trade unions which both in India and abroad, have in recent years, acquired and often misused enormous economic powers.

Activity

Find out certain social responsibility projects undertaken by various business organizations in your area.

Self Assessment Questions

19. Now a days CSR is a _____ responsibility.
20. Shakti programme launched by HUL is for _____ women for earning extra income.
21. Godrej industries looks at CSR as _____ .
22. The motto of P&G's social project is _____ .

13.7 Summary

- The term “social responsibility of business” refers to two types of business obligations. Firstly economic consequences do not adversely affect the public welfare and secondly it should develop human values.
- An important view is that a businessman should hold everything in trust and carry out his business for the benefit of the society along with earning profits.

- A businessman's social responsibility is towards his customers, human resources, shareholders, government and environment.
- Barriers to social responsibility are a) Urge to make profit, b) Desire to amass huge wealth, c) Low profitability, d) Problems of exploitation, e) Frequent change of government and i) Problem of trade union etc.
- Many companies in India have integrated corporate social responsibility into their business objectives and strategies.

13.8 Glossary

- **Community** – The part of society which provides the immediate social environment of the company.
- **CSR** – Corporate Social Responsibility. A corporation's responsiveness to public consensus.
- **Employee welfare programmes** – Programmes which provides services, facilities and amenities to enable persons employed, to perform their work in healthy and congenial surroundings.
- **Recession** – The result of continuous interaction between a number of macro-economic forces which brings about a fall in the level of aggregate economic activity.
- **Remuneration** – The compensation of a person receives in return for his/ her contribution to an organization.
- **Shareholders** – Owners of a business who have a direct stake in it.
- **Stock**- Securities issued by corporate organizations, offered to individuals and institutional investors.
- **Tax** – Compulsory levy imposed by the government on individuals or economic units.

13.9 Terminal Questions

1. Write short notes on the following factors of social responsibility
 - a. Philanthropy
 - b. Social Investment
 - c. Commercial
2. Describe the various situations where social responsibility may become necessary.
3. Describe the corporate social responsibility of business houses towards human resources with an example of an Indian company.

4. Explain the barriers to corporate social responsibility.
5. Comment on the corporate social responsibility of Indian businesses.

13.10 Answers

Self Assessment Questions

1. potential immorality, limited liability
2. socio-economic obligation, socio-human obligation
3. economic, political
4. trustee
5. False
6. False
7. True
8. True
9. True
10. customer satisfaction, customer delight
11. customer first
12. probable, expected
13. Tisco
14. village
15. False
16. False
17. True
18. False
19. all-year – round
20. rural
21. philanthropy
22. business with a purpose

Terminal Questions

1.
 - a) Please refer to sec no 13.2
 - b) Please refer to sec no.13.2
 - c) Please refer to sec.no.13.2
2. Refer to sec.no.13.3
3. Refer to sec no. 13.4.4
4. Refer to sec no 13.5
5. Refer to sec no 13.6

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